

August 16, 2026 09:45 PM GMT

Amazon.com Inc | North America

AWS's Path to \$1 Trln of Revenue and How AMZN Shares Can Double

We detail AWS's road to \$1trln of revenue in the next 8-10 years, which paints a path toward \$500bn of company-wide EBIT and a \$500 share price by year end 2027. Base case remains \$335 (~30% upside) with bull case increasingly in play if AWS delivers like we think it could.

AMZN's \$1 Trillion Vision for AWS Revenue Reinforces the High ROIC Opportunity Ahead: We laid out the high ROIC opportunity for hyperscalers (like AWS) through the GenAI age of inference ahead [here](#), and believe AMZN is confident too given 2Q:26 earnings commentary laying out a vision of \$1trln of AWS revenue (~6X larger than the current ~\$170bn annualized) with long-term returns similar to the core AWS business over the past ~20 years. AMZN said:

"We long believed AWS could become a few hundred billion dollar revenue business and now believe it'll be at least double that, and very possibly be \$1 trillion annual revenue business for us in time with very appealing accompanying free cash flow and return on invested capital."

"We've done this before in the first era of cloud computing, just over a longer time horizon where demand built more gradually than it has in AI. But we see the margins and returns in AI tracking what we saw with core at the same point of evolution. Actually a little ahead."

But how far away could AMZN's vision for a trillion dollar business be and what's priced in AMZN shares?

Bringing on Compute Capacity Remains the Gating Factor... As long as innovation and demand for GenAI tools continue to scale, we still believe each hyperscaler's ability to bring on compute capacity is the key factor driving forward revenue growth, as explained by our work [here](#). We estimate AMZN is going to bring on 6/8 GW of compute capacity in '26/'27. We acknowledge limited visibility into how many GW of compute AMZN will be bringing online beyond '27 given unknown server/rack purchase volumes, improving server/rack power draws, evolving regulatory unknowns, and physical limits to faster data center openings like labor, construction, and power. But we do believe AMZN is executing at an organized and rapid and clip in order to bring on its current capacity, so as a base case (in this scenario) we assume adding 8 incremental GW per year is a reasonable range going forward.

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Amazon.com Inc (AMZN.O, AMZN US)	
Internet United States of America	
Stock Rating	Overweight
Industry View	Attractive
Price target	\$335.00
Shr price, close (Aug 14, 2026)	\$262.65
Mkt cap, curr (mm)	\$2,899,306
52-Week Range	\$287.20-196.00

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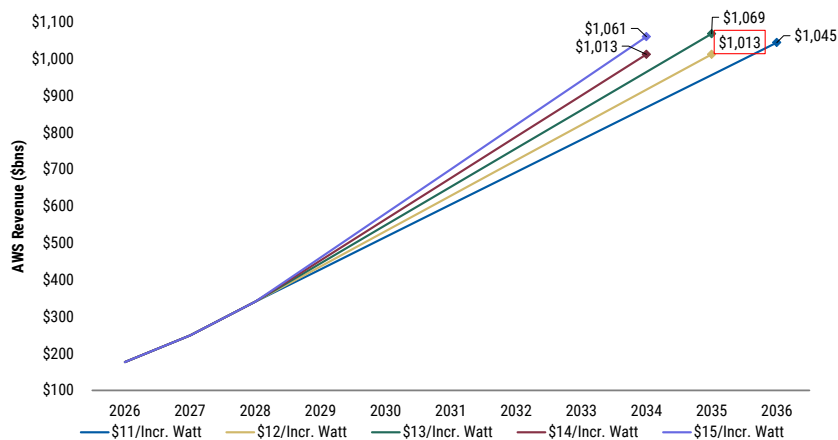
Exhibit 1: We think the notion of adding ~8 incremental GW/year is a reasonable base case assumption, while monetization per incremental watt is likely the swing factor in determining how quickly AWS reaches \$1 trln in revenue.

(\$mn)	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Total Compute Capacity (GW)	14	20	28	36	48	60	72	84	96	108	120
Incremental Compute Capacity (GW)	3.9	6	8	8	8	8	8	8	8	8	8
Incremental Revenue per Incremental Watt	\$5	\$8	\$9	\$11	\$12	\$12	\$12	\$12	\$12	\$12	\$12
Total AWS Revenue	\$128,725	\$176,905	\$249,171	\$340,778	\$436,778	\$532,778	\$628,778	\$724,778	\$820,778	\$916,778	\$1,012,778
Y/Y Growth (%)	20%	37%	41%	37%	28%	22%	18%	15%	13%	12%	10%
Y/Y Growth (\$)	\$21,169	\$48,180	\$72,266	\$91,607	\$96,000	\$96,000	\$96,000	\$96,000	\$96,000	\$96,000	\$96,000

Source: Company Data, Morgan Stanley Research

...While Monetization Rates of Capacity Showcase How \$1trln of Revenue Could Be as Soon as 2034: In our GenAI ROIC work, we detailed multiple reasons why implied incremental revenue per incremental GW for the hyperscalers should rise from the current high single digit range to double digit or teens levels. Monetization rates will come down to supply and demand and compute pricing, which is driven by product innovation. AWS is currently monetizing at \$8/incremental watt (full year '26 estimate) and we expect this to rise...and consider that if AWS could monetize at \$12/incremental watt (on average) it would yield \$1trln of revenue as early as 2035. Monetization of \$14-\$15/incremental watt could bring it even earlier in 2034. **Please let us know if interested in our AWS interactive monetization models.**

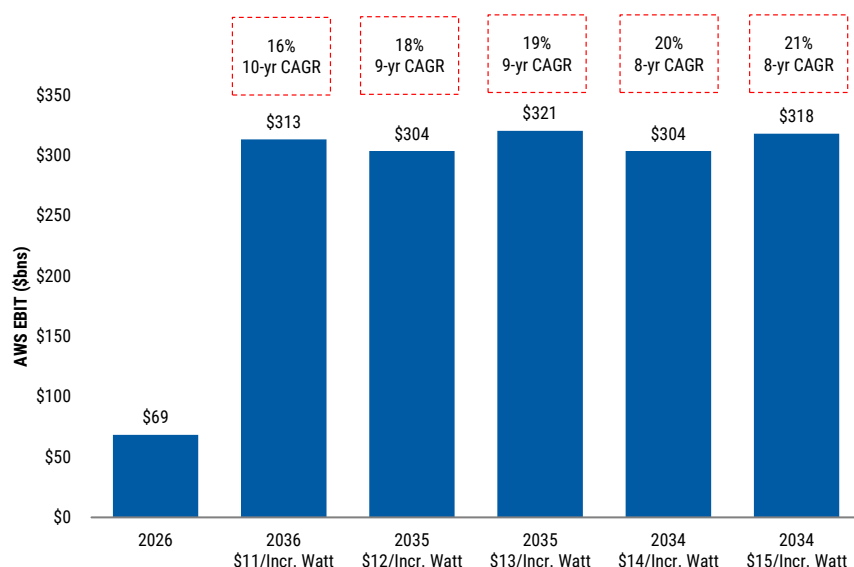
Exhibit 2: We see AWS reaching \$1trln in revenue as soon as 2034 if monetization rates per incremental GW reach \$14-\$15...with even \$12/incremental watt yielding \$1trln in 2035



Source: Company Data, Morgan Stanley Research estimates

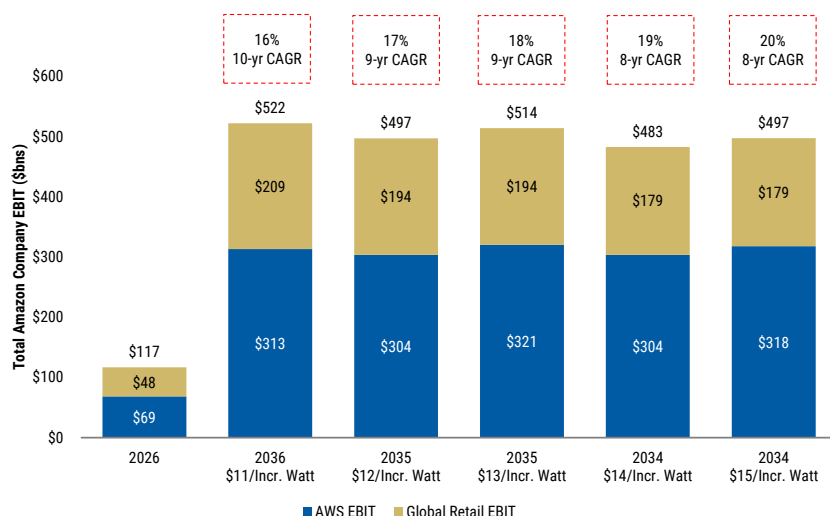
And if AI Margins Track with Core Cloud, ~\$300bn of AWS EBIT and ~\$500bn in Total AMZN EBIT Could Follow: We can debate the long-term margins of a GenAI enabled AWS, but if AMZN management's comments on AI tracking toward similar margins and returns as core cloud are in the right ballpark, this likely implies ~30% EBIT margins...which means that \$1trln of AWS revenue could imply ~\$300bn of AWS EBIT in 2034-2036. And as shown below (see [Exhibit 4](#)), layering in reasonable Retail assumptions, this would imply **AMZN is set to generate ~\$500bn of EBIT in 2034-2036...and that company wide EBIT could CAGR at a 16-20% rate.**

Exhibit 3: Assuming a 30% long-term margin, we estimate AWS could generate \$300bn in EBIT in 2034-2036...implying a CAGR of 16%-21%



Source: Company Data, Morgan Stanley Research estimates

Exhibit 4: ...which means total AMZN EBIT including retail could reach \$500bn in the same period, growing at a 16-20% CAGR:



Source: Company Data, Morgan Stanley Research estimates, Note: We assume our base case estimates through 2030 and run a scenario where Global Retail revenue grows at an 8% CAGR from 2030-2036 and assume 14% LT global retail EBIT margins in each possible year that AWS reaches \$1trln in revenue

Which Paints a Path to \$500 per Share or 80-100% Upside: Note, if we capitalize this ~\$500bn of estimated LT AMZN EBIT at an EV/EBIT multiple of ~21x (still a ~10% discount to AMZN's peer average of ~23X) and discount it back at a 10% WACC to '28, we see an implied AMZN price per share of ~\$500 by year end '27...~80-100% upside from current levels (see [Exhibit 5](#)). Said another way, we find AMZN is currently trading at ~11X \$500bn '35 EBIT discounted back at a 10% WACC to '28 (~\$265bn), or a ~50% discount to its peers. This again speaks to the under-

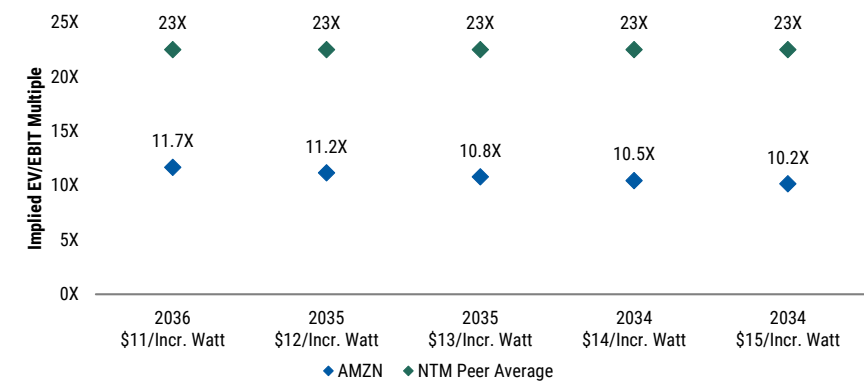
priced revenue, EBIT, and ROIC opportunity to come in AMZN shares.

Exhibit 5: If we capitalize ~\$500bn of estimated LT AMZN EBIT at an EV/EBIT multiple of ~21X and discount it back at a 10% WACC to '28, we see an implied AMZN price per share of ~\$500 by year end '27, or ~80-100% upside from current levels...

AMZN \$1trn Valuation (\$bn)	2036 \$11/Incr. Watt	2035 \$12/Incr. Watt	2035 \$13/Incr. Watt	2034 \$14/Incr. Watt	2034 \$15/Incr. Watt
Total Amazon EBIT	\$522	\$497	\$514	\$483	\$499
(x) Target Multiple	21X	21X	21X	21X	21X
(=) Implied Long-Term EV	\$11,201	\$10,663	\$11,023	\$10,356	\$10,664
Discount Rate	10%	10%	10%	10%	10%
(=) Long-Term EV Discounted to '28	\$5,265	\$5,509	\$5,695	\$5,879	\$6,054
(-) YE27 Net Debt	\$93.4	\$93.4	\$93.4	\$93.4	\$93.4
(/)/YE27 Shares (bn)	11.1	11.1	11.1	11.1	11.1
Implied Year-End '27 Price/Share	\$466	\$488	\$505	\$521	\$537
Current Price/Share	\$263	\$263	\$263	\$263	\$263
Hyperscaler Peer Current EV/EBIT Implied Price/Share % upside/(downside)	77%	85%	91%	97%	103%

Source: Company data, Morgan Stanley Research Estimates:

Exhibit 6: ...said another way, we find AMZN is currently trading at ~11X our \$500bn '35 EBIT discounted back at a 10% WACC to '28 (~\$265bn), or a ~50% discount to its hyperscaler and broad peer set



Source: Company Data, Morgan Stanley Research estimates, Note: We arrive at our implied EV/EBIT multiples by discounting our estimated AMZN EBIT to '28 at a 10% WACC and compare it to current NTM multiples for the company's peer hyperscaler and retail comps (GOOGL, MSFT, META, WMT, COST, NFLX)

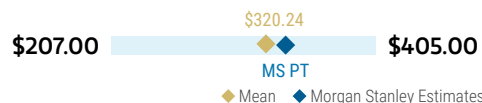
Risk Reward – Amazon.com Inc (AMZN.O)

AMZN Risk Reward

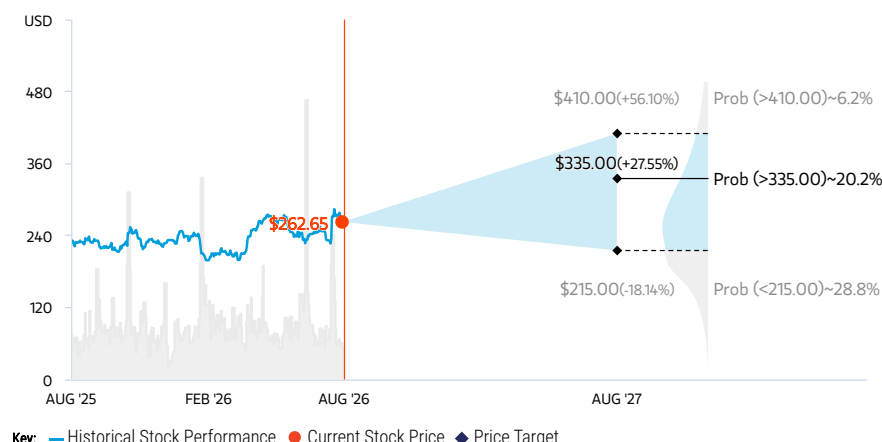
PRICE TARGET \$335.00

Our \$335 PT is based on applying a ~25X P/E multiple to an average of our \$14 of '27/'28 EPS (roll to mid-year), which implies ~28X '27 EPS and ~22X '28 EPS.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



BULL CASE \$410.00

~27X an average of \$15 of bull '27/'28 EPS

Our Bull case is derived from higher Revenue and EBIT margin assumptions than in our base case

BASE CASE \$335.00

~25X an average of \$14 of base '27/'28 EPS

Our \$335 PT is based on applying a ~25X P/E multiple to an average of our \$14 of '27/'28 EPS (roll to mid-year), which implies ~28X '27 EPS and ~22X '28 EPS.

BEAR CASE \$215.00

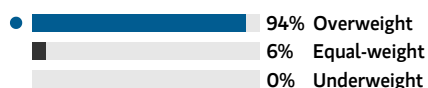
~17X an average of \$12 of bear '27/'28 EPS

Our Bear case is derived from lower Revenue and EBIT margin assumptions than in our base case

OVERWEIGHT THESIS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest (last mile delivery, fulfillment, Prime Now, Fresh, Prime digital content, Alexa/Echo, India, AWS, etc).
- Amazon Prime membership growth drives recurring revenue and positive mix shift.
- Cloud adoption hitting an inflection point.
- Advertising serves as a key area for both further growth potential and profitability flow-through.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
New Data Era: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Amazon.com Inc (AMZN.O)

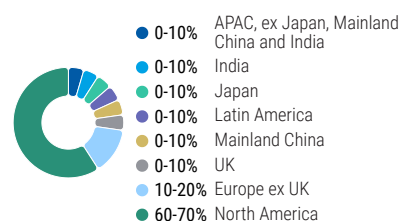
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue (\$, mm)	716,924	833,352	973,667	1,134,182
Gross Profit (\$, mm)	361,287	433,328	534,679	656,405
GAAP EBIT (\$, mm)	79,975	116,753	166,089	227,300
Paid Unit Growth (y/y) (%)	10.8	12.9	9.6	9.1
AWS Revenue Growth (%)	19.7	37.4	40.8	36.8

INVESTMENT DRIVERS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest
- Cloud is in a multi-decade secular adoption cycle
- Amazon is gaining share in eCommerce/retail and share of consumers' wallets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected AWS rev growth and stable margin expansion
- Faster than expected Retail rev growth, stable to expanding 1P Merch Margins
- Greater than expected shipping and fulfillment leverage

RISKS TO DOWNSIDE

- Investments step up and continue for longer than expected
- Merch margins worse than expected
- AWS revenue decelerates and /or margins decline

OWNERSHIP POSITIONING

Inst. Owners, % Active	55.3%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	10.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	◆ 833,352
Note: There are not sufficient brokers supplying consensus data for this metric	

EBITDA (\$, mm)	◆ 224,292
Note: There are not sufficient brokers supplying consensus data for this metric	

Net income (\$, mm)	◆ 146,557
Note: There are not sufficient brokers supplying consensus data for this metric	

EPS (\$)	◆ 13.43
Note: There are not sufficient brokers supplying consensus data for this metric	

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/14/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	\$184.06
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	\$345.90
Amazon.com Inc (AMZN.O)	O (04/24/2015)	\$262.65
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	\$212.06
DoorDash Inc (DASH.O)	O (02/21/2024)	\$217.02
Expedia Inc. (EXPE.O)	E (01/09/2019)	\$332.69
Instacart (CART.O)	E (01/29/2024)	\$48.88
Lyft Inc (LYFT.O)	E (10/24/2019)	\$17.48
Meta Platforms Inc (META.O)	O (03/20/2023)	\$589.85
Pinterest Inc (PINS.N)	O (07/20/2025)	\$24.06
Reddit Inc (RDDT.N)	O (12/08/2024)	\$178.09
Snap Inc. (SNAP.N)	E (07/22/2024)	\$5.41
Uber Technologies Inc (UBER.N)	++	\$75.95
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	\$315.44
Compass, Inc. (COMP.N)	E (01/12/2026)	\$13.02
Criteo SA (CRTL.O)	E (01/26/2016)	\$19.00
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	\$13.29
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	\$21.61
MNTN Inc (MNTN.N)	E (06/16/2025)	\$12.52
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	\$3.64
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	\$2.51
Roblox Corporation (RBLX.N)	O (11/04/2024)	\$38.23
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	\$246.95
Trade Desk Inc (TTD.O)	E (09/10/2025)	\$14.14
Unity Software Inc (U.N)	O (09/02/2024)	\$46.25
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	\$8.29
Yelp Inc (YELP.N)	U (01/10/2019)	\$24.70

Zillow Group Inc (Z.O)	E (04/18/2018)	\$34.78
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	\$2.71
Chewy Inc (CHWY.N)	O (10/31/2023)	\$22.42
Duolingo Inc (DUOL.O)	E (02/27/2026)	\$132.83
eBay Inc (EBAY.O)	O (04/18/2024)	\$103.14
Etsy Inc (ETSY.N)	E (07/20/2025)	\$79.90
FIGS, Inc. (FIGS.N)	E (02/29/2024)	\$14.69
Grindr Inc. (GRND.N)	O (07/01/2026)	\$16.01
Match Group Inc (MTCH.O)	E (04/18/2024)	\$37.95
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	\$5.63
Revolve Group Inc (RVLV.N)	E (10/20/2024)	\$23.69
WW International Inc (WW.O)	E (08/01/2025)	\$14.06

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* Historical prices are not split adjusted.

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